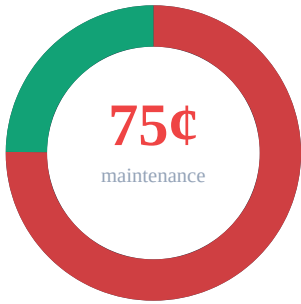
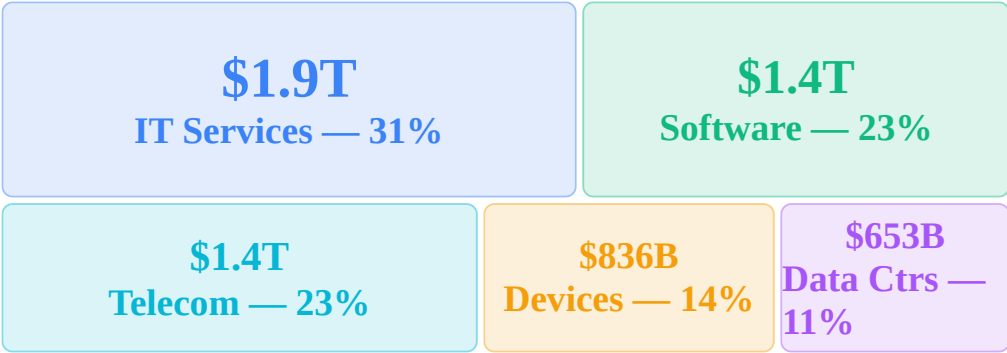


\$6.15T Global IT Spending — 2026



The 75-Cent Problem

For every dollar an enterprise spends on IT, **75 cents** goes to keeping legacy systems alive: patching servers, renewing licenses, managing vendor contracts, servicing technical debt accumulated over decades. Only **25 cents** funds anything genuinely new. Your highest-paid engineers are plumbers, not architects. The Deloitte CIO Survey confirms this ratio has remained stubbornly unchanged for five consecutive years despite massive cloud migration efforts.

The AI Readiness Crisis

Gartner's February 2026 forecast projects global IT spending at **\$6.15 trillion**, a 9.8% increase over 2025. The number represents the largest technology investment in human history, spanning IT services (\$1.9T in consulting, outsourcing, and system integration), enterprise software (\$1.4T in SaaS and perpetual licenses), telecom services (\$1.4T), devices (\$836B), and data center systems (\$653B). Yet the return on each incremental dollar is collapsing.

AI isn't failing because the models are bad. **72% of CIOs** confirm fragmented infrastructure is the primary barrier to AI ROI (Gartner 2025). Enterprise deployment demands unified data, consistent APIs, and platform-wide observability. Instead, organizations have 660 disconnected tools, 3 cloud providers, and 14 auth systems. The devastating result: **95% of GenAI pilots** fail to deliver measurable business value (MIT Sloan 2025). Not bad algorithms — broken substrates.

Enterprise Sprawl by the Numbers

The average large enterprise now operates **660 SaaS applications**, with orgs above 10,000 employees averaging \$284M in annual SaaS spend (Zylo 2025). Most adopted bottom-up with zero oversight: **53% of licenses completely unused**. Cloud waste adds **27% of \$450B+** in global spend — idle instances, over-provisioned VMs, forgotten resources totaling ~\$17M/yr per org burned (Flexera 2025). And **94% of modernization projects** exceed timelines and budgets (IBM IBV). Complexity kills transformation before it starts.

Market Destruction — Q1 2026

Investors are punishing legacy vendors at historic levels. **\$1 trillion** in software market cap destroyed (CNBC). Single-day **\$285 billion** AI sector wipeout (WinBuzzer). VMware's post-acquisition license restructuring: **+1,500%** increases, forcing pay-or-migrate ultimatums on captive customers (CIO/Avasant). PM SaaS **-58%** YTD, IT outsourcing **-42%**, CRM **-38%**, virtualization **-27%**.

Smart Money Speaks

Hedge funds made **\$24 billion** in profits shorting legacy enterprise vendors in just five weeks (CNBC). The message from capital markets is unambiguous: fragmented infrastructure is a liability, not an asset. Enterprises that continue bolting together dozens of incompatible tools face rising costs, falling productivity, and AI programs that never move beyond pilot stage. The question isn't whether to transform — it's how fast you can converge before your competitors do. The transformation window is closing.

